OFFERING MEMORANDUM

Redwood Health Center | Charlotte, NC

Property	Redwood Health Center
Location	253 Heritage Court, Charlotte, NC 98883
Property Type	Medical Office
Size	109,000 SF
Year Built	1991
Offering	Unpriced - Offers Due April 19, 2021

Risk Considerations

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Rents average $27 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Patient parking and ADA-compliant access are provided at a ratio of 30 spaces per 1,000 square feet. Projected levered IRR is 5.1% with an equity multiple of 1.24x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Distributions to investors for the quarter were paid at an annualized rate of 5.2% on contributed capital. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Rents average $27 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The business plan contemplates a hold period of 4 years with disposition upon achievement of target returns. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage.

Supply and Demand

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. The Charlotte Medical Office market has experienced absorption of 3700 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Redwood Health Center is located in Charlotte, NC, a market that has recorded 12.5% population growth over the last five years. Employment growth is led by healthcare, logistics, education and professional services sectors.

Redwood Health Center is located in Charlotte, NC, a market that has recorded 6.9% population growth over the last five years. The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Patient parking and ADA-compliant access are provided at a ratio of 38 spaces per 1,000 square feet. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Investor demand for Medical Office assets in Charlotte remains strong with recent trades at capitalization rates between 6.41% and 6.41%. Rents average $27 per square foot modified gross and leases include tenant improvement allowances for specialized buildout.

Investor Distributions

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Projected levered IRR is 2.4% with an equity multiple of 1.34x over the hold period. Patient parking and ADA-compliant access are provided at a ratio of 31 spaces per 1,000 square feet. Rents average $27 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. Distributions to investors for the quarter were paid at an annualized rate of 4.1% on contributed capital.

The property is located adjacent to a regional hospital campus and benefits from referral-driven tenancy. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Projected levered IRR is 2.0% with an equity multiple of 1.10x over the hold period. Rents average $27 per square foot modified gross and leases include tenant improvement allowances for specialized buildout. The building is configured for physician practices with plumbing in every suite, imaging-ready floor loads and dedicated medical waste storage. Patient parking and ADA-compliant access are provided at a ratio of 39 spaces per 1,000 square feet.

Supply and Demand

FICTITIOUS SAMPLE DOCUMENT — all names, figures and entities are invented for classroom training use only